jected in at least three subsequent cases. In *Wheeling Steel Corp.* v. *Glander,* 337 U. S. 562 (1949), the Court struck down a provision of Ohio's ad valorem tax law that subjected certain intangible property of non-Ohio corporations to a tax not applied to identical property of Ohio corporations. The Court concluded that the provision violated the Equal Protection Clause on the ground that the inequality of treatment was "not because of the slightest difference in Ohio's relation to the decisive transaction, but solely because of the different residence of the owner." *Id.,* at 572.[20] The decision in *Wheeling Steel* was not directly in conflict with that in *Lincoln National,* because the Ohio courts had held the tax in *Wheeling Steel* an "*ad valorem* property tax, . . . and in no sense a franchise, privilege, occupation, or income tax." 337 U. S., at 572. However, the *Wheeling Steel* decision rejected the *principle* of *Lincoln National:* the opinion declared that a State's power to exclude out-of-state corporations is limited by the Constitution; the State may not "exac[t] surrender of rights derived from the Constitution of the United States." 337 U. S., at 571 (citing *Hanover Fire Ins. Co.* v. *Harding, supra,* at 507).

In *Allied Stores of Ohio, Inc.* v. *Bowers,* 358 U. S. 522 (1959), this Court sustained an Ohio statute exempting nonresidents from an ad valorem tax on certain property held in a storage warehouse, but not exempting Ohio residents from the tax. Without alluding to any possibility that legislative classifications based on State of incorporation should be subject to a different standard from other classifications, the Court held that state tax laws "must proceed upon a rational

[20] The State argued that other States could enact similar provisions, and thereby eliminate any inequality. This Court concluded, however, that "[i]t is hard to see that this offer of reciprocity restores to appellants any of the equality which the application of the Ohio tax, considered alone, so obviously denies." 337 U. S., at 573.

basis and may not resort to a classification that is palpably arbitrary." *Id.*, at 527.[21]

Finally, in *WHYY, Inc.* v. *Glassboro,* 393 U. S. 117 (1968), this Court struck down a New Jersey statute exempting nonprofit corporations incorporated in New Jersey from tax, but denying a similar exemption to nonprofit corporations incorporated in other States. Disregarding *Lincoln National,* the Court stated the applicable principle of law as follows:

> "This Court has consistently held that while a State may impose conditions on the entry of foreign corporations to do business in the State, once it has permitted them to enter, 'the adopted corporations are entitled to equal protection with the state's own corporate progeny, at least to the extent that their property is entitled to an equally favorable *ad valorem* tax basis.' *Wheeling Steel Corp.* v. *Glander,* 337 U. S. 562, 571–572. See *Reserve Life Ins. Co.* v. *Bowers,* 380 U. S. 258; *Hanover Fire Ins. Co.* v. *Harding,* 272 U. S. 494; *Southern R. Co.* v. *Greene,* 216 U. S. 400." 393 U. S., at 119–120.

In view of the decisions of this Court both before and after *Lincoln National,* it is difficult to view that decision as other than an anachronism. We consider it now established that, whatever the extent of a State's authority to exclude foreign corporations from doing business within its boundaries, that

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[21] Justice Harlan and I, concurring, went still further. Arguing that the Equal Protection Clause must be used as "an instrument of federalism," 358 U. S., at 532, we rejected the Court's analysis as insufficiently protective of out-of-state interests. We stated that the Equal Protection Clause denies a State "the power constitutionally to discriminate in favor of its own residents against the residents of other state members of our federation." *Id.*, at 533. Our position has not been adopted by the Court, which has subsequently required no more than a rational basis for discrimination by States against out-of-state interests in the context of equal protection litigation. *E. g., Baldwin* v. *Montana Fish and Game Comm'n,* 436 U. S. 371, 388–391 (1978); *Hughes* v. *Alexandria Scrap Corp.,* 426 U. S. 794, 810–814 (1976).

authority does not justify imposition of more onerous taxes or other burdens on foreign corporations than those imposed on domestic corporations, unless the discrimination between foreign and domestic corporations bears a rational relation to a legitimate state purpose. As we held in *Power Manufacturing Co.* v. *Saunders,* 274 U. S., at 493–494:

> "No doubt there are . . . subjects as to which foreign corporations may be classified separately from both individuals and domestic corporations and dealt with differently. But there are other subjects as to which such a course is not admissible, the distinguishing principle being that classification must rest on differences pertinent to the subject in respect of which the classification is made."

IV

In determining whether a challenged classification is rationally related to achievement of a legitimate state purpose, we must answer two questions: (1) Does the challenged legislation have a legitimate purpose? and (2) Was it reasonable for the lawmakers to believe that use of the challenged classification would promote that purpose? See *Minnesota* v. *Clover Leaf Creamery Co.,* 449 U. S., at 461–463; *Vance* v. *Bradley,* 440 U. S. 93, 97–98 (1979).

The legislative purpose of California's retaliatory tax is not difficult to discern, for such taxes have been a common feature of insurance taxation for over a century. Although variously expressed, the principal purpose of retaliatory tax laws is to promote the interstate business of domestic insurers by deterring other States from enacting discriminatory or excessive taxes. A survey of state retaliatory tax laws summarized:

> "[W]hatever their character, it is obvious . . . that their ultimate object is not to punish foreign corporations doing business in the state, or retort the action of the foreign state in placing upon corporations of the enact-

> ing state doing business therein burdens heavier than those imposed upon corporations of such foreign state doing business in the enacting state, but to induce such foreign state to show the same consideration to corporations of the enacting state doing business therein as is shown to corporations of such foreign state doing business in the enacting state." Annot., 91 A. L. R. 795 (1934).

Accord, *Bankers Life Co.* v. *Richardson,* 192 Cal. 113, 124–125, 218 P. 586, 591 (1923); *State ex rel. Crittenberger* v. *Continental Ins. Co.,* 67 Ind. App. 536, 542, 116 N. E. 929, 936 (1917); *Phoenix Ins. Co.* v. *Welch,* 29 Kan. 672, 674–675 (1883); *Life & Cas. Ins. Co.* v. *Coleman,* 233 Ky. 350, 351–352, 25 S. W. 2d 748, 749–750 (1930); *State* v. *Ins. Co. of North America,* 71 Neb. 320, 324, 99 N. W. 36, 38 (1904); *Massachusetts Mut. Ins. Co.* v. *Knowlton,* 94 N. H. 409, 412, 54 A. 2d 163, 165 (1947); *Commonwealth* v. *Fireman's Fund Ins. Co.,* 369 Pa. 560, 565–566, 87 A. 2d 255, 258 (1952); *Pacific Mut. Life Ins. Co.* v. *State,* 161 Wash. 135, 137–138, 296 P. 813, 814–815 (1931).[22]

California's retaliatory tax is based upon a model statute drafted by the insurance industry, and is virtually identical to that enacted by many other States. 4 California Assembly Interim Committee on Revenue and Taxation, The Insurance Tax, No. 15, pp. 64, 66 (1964) (hereafter Insurance Tax). Since the amount of revenue raised by the retaliatory tax is relatively modest, *id.,* at 65, and the impetus for passage of the tax comes from the nationwide insurance industry, it is clear that the purpose is not to generate revenue at the expense of out-of-state insurers, but to apply pressure on other

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[22] Although the retaliatory tax is an imposition on interstate insurance companies, it is supported by the industry as a means of fostering uniform and moderate levels of taxation nationwide. See Brief for the American Insurance Association et al. as *Amici Curiae;* Council of State Governments, State Retaliatory Taxation of the Insurance Industry 12 (1977).